AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

# Delta Air Lines

NYSE : DAL · $50.73B mkt cap · 653M sh · $4.31B cash, $13.31B debt · $4.31B cash vs $13.31B gross debt+leases → ~$9.0B net debt (adjusted net debt below 2019, investment-grade at all 3 agencies); ~653M shares; Revenue $63.4B FY25 (GAAP, grossed up by third-party refinery sales); GAAP op margin ~9.2%; FCF ~$3.8B; Up ~12% YTD, ~37% TTM; FY26 guide EPS $6.50-7.50 (+20%), FCF $3-4B

Mature-Company DCF

22 October 2026 · the qualitative

**$77.67**

## THE CENTRAL QUESTION

### Does the premium-cabin + Amex loyalty mix durably de-cyclicalize Delta toward a higher-margin consumer/payments business, or does it revert to fuel-and-cycle airline economics?

Delta trades at ~$50.73B equity (~$77.67, ~+37% TTM) — ~13x FCF on $63.4B GAAP revenue, ~9.2% operating margin, ~$3.8B FCF, but ~$9B net debt drags the equity. The bull is the premium-cabin + SkyMiles-Amex loyalty annuity (premium revenue +14%, Amex remuneration >$2B toward $10B) re-rating earnings toward a lower-beta consumer/payments mix; the bear is reversion to fuel-and-cycle economics with a K-shaped main cabin. The modal case lands ~fair (+4%) - cheap-on-FCF is offset by cyclicality and the debt bridge.

## PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +3.6% · 44% at or below spot

**$76.35** expected fair value today

-1.7% vs spot $77.67

## FORWARD COMPOUNDED VALUE

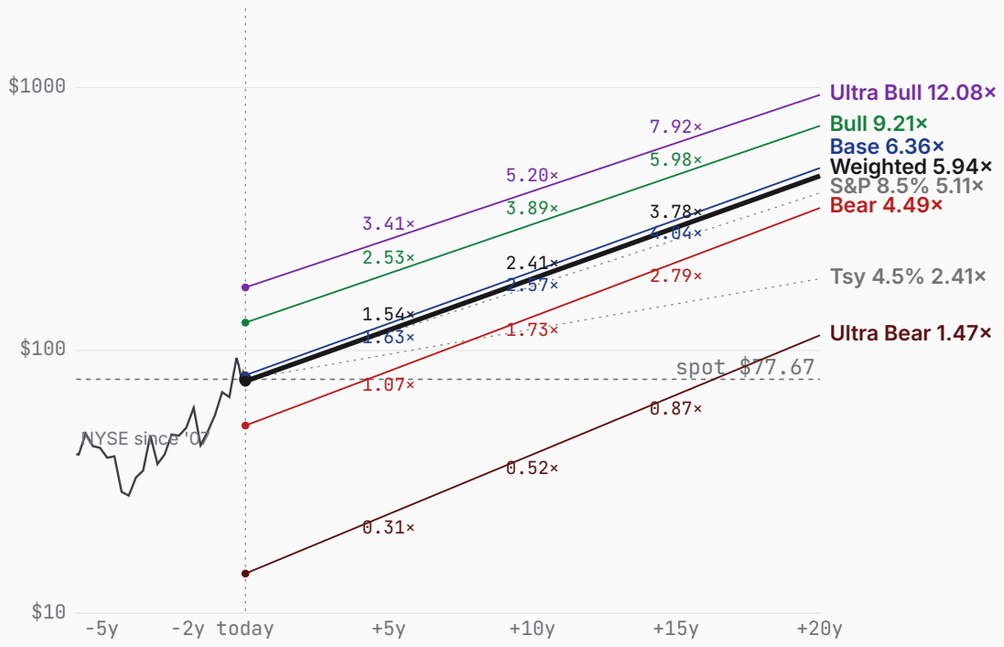
| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $119.61 | $187.46 | $293.97 | $461.24 |
| 1.54× spot | 2.41× spot | 3.78× spot | 5.94× spot |

## WEIGHTING RATIONALE

**Ultra Bear 16%** Recession air-pocket; cyclical reversion + debt drag; ~$14 (-82%).
**Bear 28%** K-shaped softness; stays airline-like; ~$52 (-33%).
**Base 33%** Premium/loyalty hold; margins grind up; ~$80 (+4%).
**Bull 15%** Loyalty annuity de-cyclicalizes earnings; ~$128 (+64%).
**Ultra Bull 8%** Consumer/payments re-rate; ~$174 (+124%).

Bull (15%) + Ultra Bull (8%) together contribute $33.03 — 43% of the $76.35 expected value despite 23% combined probability. Today's spot ($77.67) sits 2% above the weighted expected; the forward-weighted value reaches spot within a year.

## PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD




## ULTRA BEAR $14.17

-81.8% vs spot

CAGR +0.5% WACC 11.0%
CAGR +0.5% Prob 16%

Recession air-pocket; cyclical reversion.

## BEAR $51.80

-33.3% vs spot

CAGR +2.8% WACC 10.0%
CAGR +2.8% Prob 28%

K-shaped softness; margins stay airline-like.

## BASE $80.48

+3.6% vs spot

CAGR +3.6% WACC 9.5%
CAGR +3.6% Prob 33%

Premium/loyalty hold; margins grind up.

## BULL $127.57

+64.2% vs spot

CAGR +4.6% WACC 9.0%
CAGR +4.6% Prob 15%

Loyalty annuity de-cyclicalizes the earnings.

## ULTRA BULL $173.62

+123.5% vs spot

CAGR +5.2% WACC 8.8%
CAGR +5.2% Prob 8%

Consumer/payments re-rate; full multiple shift.

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# Delta Air Lines scenario narratives

## PROBABILITY WEIGHTS

Ultra Bear 16% Bear 28% Base 33% Bull 15% Ultra Bull 8% · Weighted expected $76.35 (-1.7% vs spot)

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## ULTRA BEAR $14.17

-81.8% vs spot

Probability 16%

### Recession air-pocket; cyclical reversion.

#### WHY 16%

The genuine cyclical bear: airlines carry operating + financial leverage, Q1 already printed a GAAP pre-tax loss on investment marks, and main cabin is 'struggling.' 16% weight on a recession/fuel air-pocket inside the 5-year window.

#### WHAT HAPPENS

A recession hits travel: a demand air-pocket drops revenue ~8% in year one, fuel spikes against the cycle, and the premium/loyalty mix can't offset a collapsing main cabin. Operating margin reverts to the mid-single digits of a commoditized carrier and FCF margin falls near 1-3% as the capital-intensive fleet still has to be funded.

A fuel-and-cycle airline with ~$9B net debt and a low-single-digit terminal earns a depressed ~11-12x FCF multiple → DCF ~$14 (-82%); the debt bridge turns a cyclical earnings shock into an outsized equity drawdown.

## BEAR $51.80

-33.3% vs spot

Probability 28%

### K-shaped softness; margins stay airline-like.

#### WHY 28%

Capacity discipline holds the floor but the premium/Amex annuity doesn't durably lift the blended margin; soft main-cabin traffic + fuel keep it cyclical. 28% as the plausible 'stays an airline' path.

#### WHAT HAPPENS

No recession, but the main cabin stays soft (K-shaped demand) and the premium/loyalty re-rate stalls: revenue grows ~3% while fuel and labor hold operating margin near 7-8% - solidly airline, not consumer. FCF margin sits ~5%.

DCF ~$52 (-33%) - a cyclical carrier whose earnings haven't de-cyclicalized is worth meaningfully below today's price once ~$9B net debt is netted; the market's airline discount is warranted if the mix doesn't shift.

## BASE $80.48

+3.6% vs spot

Probability 33%

### Premium/loyalty hold; margins grind up.

#### WHY 33%

Requires the premium/loyalty mix to hold and margins to grind up modestly without a recession - consistent with the FY26 guide (+20% EPS, $3-4B FCF) but not a full re-rate. 33% as the central, near-fair outcome.

#### WHAT HAPPENS

The modal path: premium revenue and Amex remuneration keep growing toward the $10B target, capacity stays disciplined, and the blended operating margin grinds from ~9% toward ~9.5% as the higher-margin mix partly offsets a flat main cabin. Revenue compounds ~4% to ~$77B at ~6% FCF margin.

DCF ~$80 (+4%) - roughly fair. The loyalty/premium annuity is genuinely valuable, but at a ~13x FCF multiple and with ~$9B net debt the modal case only recovers to about today's price; cheap-on-FCF is offset by the cycle and the debt bridge.

## BULL $127.57

+64.2% vs spot

Probability 15%

### Loyalty annuity de-cyclicalizes the earnings.

#### WHY 15%

Premium revenue already ~ main cabin and Amex remuneration >$2B/+10% toward $10B; an investment-grade, deleveraging balance sheet supports the re-rate. ~15% weight on the loyalty/premium mix durably shifting the multiple.

#### WHAT HAPPENS

The de-cyclicalization lands: premium + SkyMiles-Amex grow into a durable, higher-margin earnings core, falling rates cut interest expense on the deleveraging balance sheet, and operating margin steps up toward ~11% with FCF margin ~8%. The market starts valuing Delta partly as a consumer/payments annuity rather than a pure carrier, lifting the multiple.

DCF ~$128 (+64%) - if a real chunk of earnings re-rates toward a lower-beta loyalty/premium business, the airline discount narrows and the de-rated entry re-rates with the fundamentals; this is the core of the bull.

## ULTRA BULL $173.62

+123.5% vs spot

Probability 8%

### Consumer/payments re-rate; full multiple shift.

#### WHY 8%

Everything works - premium AND loyalty/Amex AND deleveraging AND a multiple shift toward consumer/payments, the durable lower-beta outcome. ~8%, the long-duration tail on the mix winning.

#### WHAT HAPPENS

The full second act: the premium-cabin + loyalty/Amex annuity becomes the dominant earnings driver, the main cabin is a stable utility beneath it, operating margin reaches ~13% at ~10% FCF margin, and the balance sheet de-levers through the cycle. Delta re-rates toward a higher-margin consumer/payments multiple rather than a carrier multiple. Revenue compounds ~5% to ~$80B.

DCF ~$174 (+124%) - the structural re-rate from 'airline' to 'travel/payments annuity'; ~8% probability, the asymmetric upside the de-cyclicalization thesis is buying.

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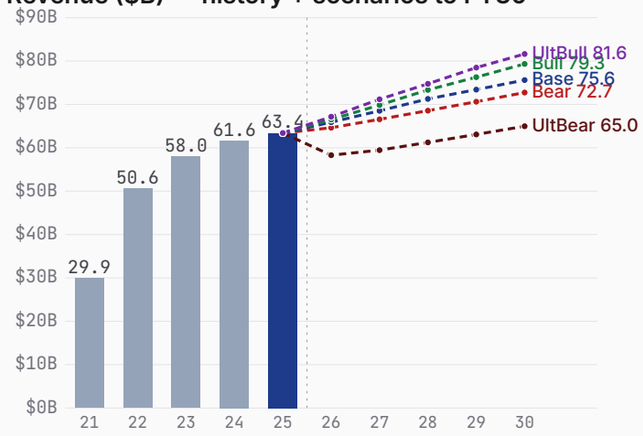
# Delta Air Lines business snapshot



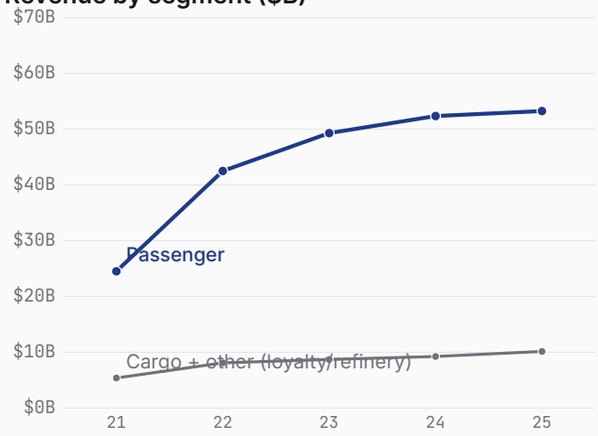
Bear $51.80 Base $80.48 Bull $127.57

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results + FY26 guidance

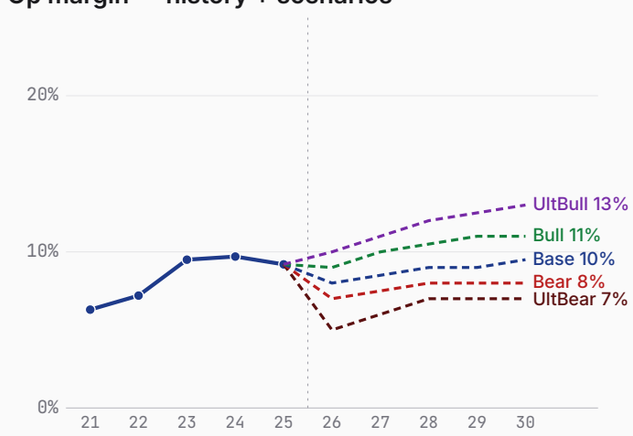
## Revenue ($B) — history + scenarios to FY30



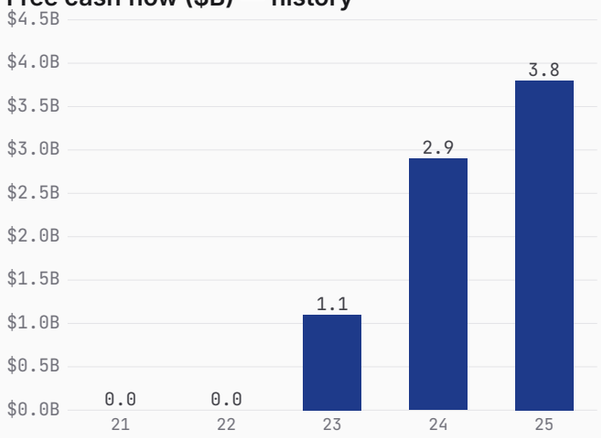

## Revenue by segment ($B)



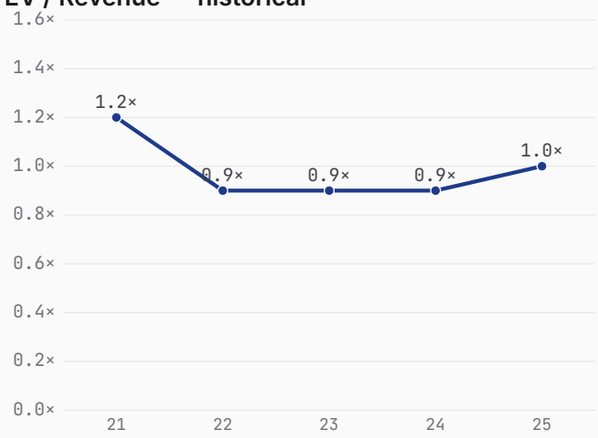

## Op margin — history + scenarios



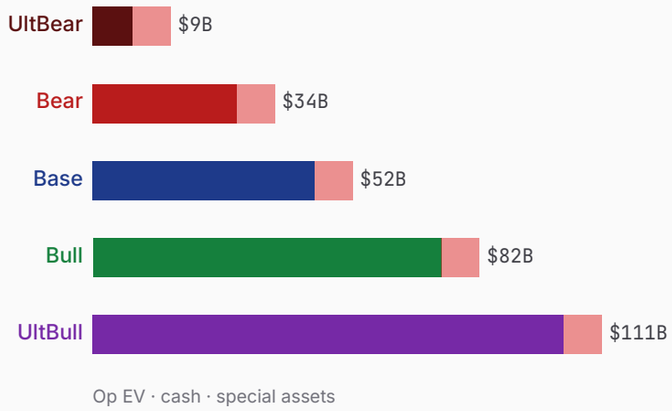

## Free cash flow ($B) — history




## EV / Revenue — historical




## Equity build (Op EV − net debt)




Sources: SEC XBRL company facts (CIK 27904), Delta Q1 FY2026 release (adjusted revenue $14.2B/+9.4%, premium revenue +14% ~ main cabin, Amex remuneration >$2B/+10% toward $10B, adjusted net debt $13.5B), FY2026 guide EPS $6.50-7.50 / FCF $3-4B. Revenue is a growth path off FY25 GAAP revenue (grossed up by refinery sales); FCF = revenue x FCF margin; Gordon terminal; ~$9B net debt nets out. Multiples vs UAL/AAL/LUV.

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# Delta Air Lines 7 Powers · the moat, scored

22 October 2026 · the competitive landscape

Bear $51.80 Base $80.48 Bull $127.57

**Arena.** Network airlines + travel/payments - Delta (premium-cabin + SkyMiles-Amex loyalty) vs United, American, Southwest, and the low-cost carriers; auditing scale economies and a loyalty/branding annuity against cyclicality, fuel, and main-cabin commoditization.

**POWER AUDIT**
dominant-power durability: medium

## POWER AUDIT · 7 POWERS

| | |
|---|---|
| **Scale Economies** · thesis leans here | Hub-and-spoke density (ATL and the major hubs), fleet/maintenance scale, and a global JV/alliance network give real cost-per-seat and schedule advantages vs LCCs - the strongest classic airline Power. |
| **Network Economies** | The SkyMiles-Amex-partner ecosystem (more partners → more value → more members) is a genuine network, but membership doesn't lock a flyer onto Delta metal. |
| **Counter-Positioning** | The premium-heavy, full-service model is hard for LCCs to copy without abandoning their cost structure, but it isn't true counter-positioning - the legacy peers run it too. |
| **Switching Costs** | Elite status, miles balances, and Amex card ties create real but surmountable stickiness; a determined flyer still switches for price/schedule. |
| **Branding** | A genuine premium/operational-reliability brand (on-time, premium cabins, loyalty) that supports a fare premium - the consumer/payments leg the bull is underwriting. |
| **Cornered Resource** | Slots/gates at constrained hubs and the long-term Amex co-brand economics are quasi-cornered - scarce, contracted, and hard for a rival to replicate. |
| **Process Power** | Operational reliability and revenue-management/segmentation execution that peers chase but don't fully match; real, but imitable over time. |

## PEER SET

**United (UAL)** — 5% gr · 8% mgn · ~7x EV/FCF
The closest network-carrier peer; premium/international push and a similar loyalty/co-brand engine - the direct mix-and-margin comp.

**American (AAL)** — 3% gr · 5% mgn · ~8x EV/FCF
Network peer carrying heavier debt; the more-cyclical, weaker-balance-sheet end of the legacy three.

**Southwest (LUV)** — 4% gr · 6% mgn · ~12x EV/FCF
Low-cost domestic leader, point-to-point; the value/main-cabin pressure on Delta's economy fares.

**American Express (AXP)** — 9% gr · 21% mgn · ~18x P/E
Not a flight rival but the loyalty counterparty whose remuneration is the de-cyclicalizing annuity; the payments business Delta is partly valued against.

## THREAT VECTORS · FALSIFIERS

**Scale Economies** · Fuel spikes + recession demand air-pocket
falsifier: A cyclical downturn compresses operating margin back to mid-single digits while ~$9B net debt amplifies the equity hit - the ultra-bear.

**Branding** · K-shaped main-cabin softness / LCC value wars
falsifier: Main-cabin traffic stays negative and premium can't offset it, so the blended margin stays airline-like instead of re-rating.

**Cornered Resource** · Amex renegotiation / co-brand competition
falsifier: Amex remuneration growth stalls short of the $10B target, removing the loyalty annuity that the de-cyclicalization thesis depends on.

### COMPETITIVE READ

Delta's strongest Power is classic airline scale economies - hub density, fleet/maintenance scale, and a global network that LCCs can't match on cost-per-seat - reinforced by quasi-cornered slots/gates and a genuine premium brand. The differentiated bet is the SkyMiles-Amex loyalty annuity (network + cornered-resource): a high-margin, lower-beta payments stream (>$2B/quarter toward $10B) that, with the growing premium cabin, could de-cyclicalize the earnings toward a consumer/payments business. The Audit: scale economies are durable (medium), but the loyalty re-rate is the live, unproven swing factor, and the threats are cyclicality/fuel + a soft, K-shaped main cabin - all amplified by ~$9B net debt. That tension is exactly the DCF finding: cheap at ~13x FCF, but the modal case lands ~+4% (fair) because the cycle and the debt bridge offset the multiple until the mix durably shifts.

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# Delta Air Lines show your work

Bear $51.80 Base $80.48 Bull $127.57 · Weighted $76.35 (-1.7%)

## ULTRA BEAR $14.17

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +0.5 |
| Year-5 op margin (%) | 7.0 |
| WACC (%) | 11.0 |
| Terminal growth (%) | 2.0 |
| Terminal FCF ($B) | $1.95B |
| Starting revenue ($B) | 63.36 |
| Scenario probability (%) | 16 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 58.29 | +5% | +0.58 | +0.53 |
| FY27 | 59.46 | +6% | +1.19 | +0.96 |
| FY28 | 61.24 | +7% | +1.84 | +1.34 |
| FY29 | 63.08 | +7% | +1.89 | +1.25 |
| FY30 | 64.97 | +7% | +1.95 | +1.16 |

| | |
|---|---|
| Σ PV explicit FCF | **+5.24** |
| + PV terminal (g 2.0%) | 13.11 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $18.35B |
| + Cash & investments | $4.31B |
| − Total debt | $13.31B |
| = Equity value | **$9.35B** |
| FY30 shares (M) | 660 |
| **= Expected per share** | **$14.17** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $23.88 | $40.23 | $67.80 | $114.24 |
| 0.31× | 0.52× | 0.87× | 1.47× |

## BEAR $51.80

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +2.8 |
| Year-5 op margin (%) | 8.0 |
| WACC (%) | 10.0 |
| Terminal growth (%) | 2.5 |
| Terminal FCF ($B) | $3.64B |
| Starting revenue ($B) | 63.36 |
| Scenario probability (%) | 28 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 64.63 | +7% | +2.58 | +2.35 |
| FY27 | 66.57 | +8% | +3.00 | +2.48 |
| FY28 | 68.56 | +8% | +3.43 | +2.58 |
| FY29 | 70.62 | +8% | +3.53 | +2.41 |
| FY30 | 72.74 | +8% | +3.64 | +2.26 |

| | |
|---|---|
| Σ PV explicit FCF | **+12.07** |
| + PV terminal (g 2.5%) | 30.86 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $42.93B |
| + Cash & investments | $4.31B |
| − Total debt | $13.31B |
| = Equity value | **$33.93B** |
| FY30 shares (M) | 655 |
| **= Expected per share** | **$51.80** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $83.42 | $134.36 | $216.38 | $348.48 |
| 1.07× | 1.73× | 2.79× | 4.49× |

## BASE $80.48

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +3.6 |
| Year-5 op margin (%) | 9.5 |
| WACC (%) | 9.5 |
| Terminal growth (%) | 2.5 |
| Terminal FCF ($B) | $4.92B |
| Starting revenue ($B) | 63.36 |
| Scenario probability (%) | 33 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 65.89 | +8% | +3.29 | +3.01 |
| FY27 | 68.53 | +9% | +3.77 | +3.14 |
| FY28 | 71.27 | +9% | +4.28 | +3.26 |
| FY29 | 73.41 | +9% | +4.41 | +3.06 |
| FY30 | 75.61 | +10% | +4.92 | +3.12 |

| | |
|---|---|
| Σ PV explicit FCF | **+15.59** |
| + PV terminal (g 2.5%) | 45.72 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $61.31B |
| + Cash & investments | $4.31B |
| − Total debt | $13.31B |
| = Equity value | **$52.31B** |
| FY30 shares (M) | 650 |
| **= Expected per share** | **$80.48** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $126.69 | $199.45 | $313.98 | $494.28 |
| 1.63× | 2.57× | 4.04× | 6.36× |

## BULL $127.57

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +4.6 |
| Year-5 op margin (%) | 11.0 |
| WACC (%) | 9.0 |
| Terminal growth (%) | 3.0 |
| Terminal FCF ($B) | $6.35B |
| Starting revenue ($B) | 63.36 |
| Scenario probability (%) | 15 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 66.53 | +9% | +3.99 | +3.66 |
| FY27 | 69.85 | +10% | +4.89 | +4.12 |
| FY28 | 73.35 | +11% | +5.50 | +4.25 |
| FY29 | 76.28 | +11% | +6.10 | +4.32 |
| FY30 | 79.33 | +11% | +6.35 | +4.13 |

| | |
|---|---|
| Σ PV explicit FCF | **+20.47** |
| + PV terminal (g 3.0%) | 70.81 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $91.28B |
| + Cash & investments | $4.31B |
| − Total debt | $13.31B |
| = Equity value | **$82.28B** |
| FY30 shares (M) | 645 |
| **= Expected per share** | **$127.57** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $196.28 | $302.00 | $464.67 | $714.95 |
| 2.53× | 3.89× | 5.98× | 9.21× |

## ULTRA BULL $173.62

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +5.2 |
| Year-5 op margin (%) | 13.0 |
| WACC (%) | 8.8 |
| Terminal growth (%) | 3.0 |
| Terminal FCF ($B) | $8.16B |
| Starting revenue ($B) | 63.36 |
| Scenario probability (%) | 8 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 67.16 | +10% | +4.70 | +4.32 |
| FY27 | 71.19 | +11% | +5.70 | +4.81 |
| FY28 | 74.75 | +12% | +6.73 | +5.22 |
| FY29 | 78.49 | +13% | +7.46 | +5.32 |
| FY30 | 81.63 | +13% | +8.16 | +5.35 |

| | |
|---|---|
| Σ PV explicit FCF | **+25.03** |
| + PV terminal (g 3.0%) | 95.09 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $120.12B |
| + Cash & investments | $4.31B |
| − Total debt | $13.31B |
| = Equity value | **$111.12B** |
| FY30 shares (M) | 640 |
| **= Expected per share** | **$173.62** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $264.69 | $403.54 | $615.22 | $937.95 |
| 3.41× | 5.20× | 7.92× | 12.08× |

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# Delta Air Lines People · Opportunity · Context · Deal

Bear $51.80 Base $80.48 Bull $127.57

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

## PEOPLE · WHO RUNS / OWNS / FUNDS IT

### Ed Bastian

10 yrs in seat

**0.5%**
insider ownership

**LOW**
key-person risk

**Capital allocation (realized)**
Ed Bastian has been CEO since 2016 (a career Delta executive, not a founder). Capital allocation in FY2025 balanced a record ~$4.6B free cash flow against deleveraging — adjusted net debt cut ~$3.7B to ~$14.3B (net debt/EBITDA ~1.8x) — plus a reinstated, growing dividend (+15% to $0.86) and ~$5.5B of 2026 reinvestment. The defined-benefit pension is overfunded (+$2.3B). Employee profit-sharing paid $1.3B for FY2025.

**Incentive alignment**
Bastian's FY2025 compensation was ~$19.2M (heavily equity-weighted); insider trading is routine selling, no open-market buying. Alignment is standard for a widely-held mega-cap (insiders under 1%), reinforced by a clawback policy, anti-hedging/anti-pledging rules, and stock-ownership guidelines. Say-on-pay drew ~95% support.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder (largest holder Vanguard ~11%)
- Chair and CEO are separated, with an INDEPENDENT non-executive Chair (David Taylor, ex-P&G) — a strong structural positive
- 12 of 14 directors independent; board declassified (annual elections), majority-vote standard
- a pilots-union (ALPA) board seat is the second non-independent director — an unusual but disclosed labor-governance feature
- large absolute debt is inherent to a capital-intensive airline (a financial, not governance, flag) and is being steadily reduced

## THE FOUR LEGS

**People** ●●●●○
observable composite · 1–5

**Opportunity**
The scenario distribution · the business snapshot · the Arthur Indicator

**Context**
The 7 Powers analysis (Power Audit)

**Deal**
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
-1.7% vs spot $77.67

> **PEOPLE READ**
> Among the cleanest governance in the book: single-class one-vote stock, a separate INDEPENDENT non-executive Chair, a 12-of-14 independent declassified board with majority voting, and strong pay hygiene (clawback, anti-pledging, ~95% say-on-pay). Key-person risk is low — a named internal heir apparent and a deep, recently-promoted bench. The watch-items are financial (airline debt, cyclicality), not governance.

# Delta Air Lines supporting analysis · disclaimers · glossary

Bear $51.80 Base $80.48 Bull $127.57

## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **~13x FCF looks cheap, but the modal DCF is only ~+4%.**
   Cyclicality + ~$9B net debt, not the multiple, hold it to roughly fair.
2. **GAAP revenue is grossed up by the refinery.**
   Refinery third-party fuel sales inflate GAAP revenue; cash flow is what matters, not the ratio.
3. **The premium/loyalty annuity is real and growing.**
   Premium ~ main cabin and Amex >$2B/+10% toward $10B - the de-cyclicalizing engine.
4. **Investment-grade and deleveraging.**
   IG at all 3 agencies; adjusted net debt below 2019 and falling, improving the equity bridge.
5. **It is still a fuel-and-cycle airline.**
   Q1 printed a GAAP pre-tax loss on marks; leverage cuts both ways - the ultra-bear.

## FALSIFICATION TRIGGERS

**Bull validation**

premium + loyalty keep outgrowing main cabin · Amex remuneration compounds toward $10B · blended operating margin rises above ~10% · net debt keeps falling

**Bear validation**

main-cabin traffic stays negative as premium can't offset it · fuel/labor compress operating margin toward ~7% · FCF undershoots the $3-4B guide

**Reframe needed**

if a recession air-pocket hits demand or the premium/loyalty re-rate stalls, the earnings stay cyclical - re-rate the terminal toward a fuel-and-cycle carrier multiple

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## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Premium revenue** — Sales from premium cabins/products (first, Delta One, Comfort+, premium economy); now ~ main cabin and +14% - the higher-margin mix shift at the heart of the bull.

**Monroe refinery / GAAP gross-up** — Delta's refinery sells fuel to third parties; those sales inflate GAAP revenue, so the GAAP FCF margin reads low.

**SkyMiles / Amex remuneration** — Cash Delta receives from American Express for co-brand cards and miles (>$2B/quarter, +10%, toward $10B/yr) - a high-margin, lower-beta payments annuity de-cyclicalizing earnings.

**FCF margin** — Free cash flow / revenue (~6% FY25 on GAAP revenue); the swing factor - whether premium/loyalty lift the blended margin or fuel-and-cycle caps it.

**Main cabin / K-shaped demand** — Economy seats serving price-sensitive flyers; 'K-shaped' = premium holding up while main cabin softens - the central bear signal.